

Financial Compliance & Governance Guidelines

Policy ID: FIN-CMP-001 **Version:** 1.0 **Effective:** 27 Sep 2026

Owner: Compliance Officer

Status: Internal / fictional policy for the FINOP demonstration environment

Purpose

Establish a governance baseline for regulatory awareness, policy compliance, records, conflicts, data handling, and escalation.

Standards alignment note

Original policy language designed for the FINOP demo. The control structure is informed by widely used principles for internal control, risk management, financial reporting, and revenue recognition, including COSO-style control concepts and IFRS-style revenue principles; it is not a reproduction of any proprietary standard and does not claim regulatory compliance.

1. Compliance principle

- The organization must identify and comply with laws, regulations, contractual requirements, licenses, and internal policies applicable to its activities and jurisdictions.
- This document is a general governance policy and does not identify every law applicable to every business.

2. Regulatory change management

- Compliance should maintain a register of material regulatory obligations and monitor authoritative sources.
- Changes should be assessed for applicability, owner, effective date, systems/process impact, and required training or policy updates.

3. Records and evidence

- Financial and compliance records must be retained according to applicable legal, regulatory, tax, contractual, and company retention requirements.
- Evidence should be attributable, complete, protected from unauthorized alteration, and retrievable.

4. Conflicts of interest

- Employees and decision-makers must disclose material conflicts according to company procedures.
- Transactions involving related parties or conflicted decision-makers require independent review and appropriate documentation.

5. Privacy and data handling

- Sensitive personal and financial information should be collected, accessed, processed, stored, and shared only for authorized purposes and in accordance with applicable privacy requirements.
- RAG systems should minimize unnecessary personal data and should not expose confidential information in prompts or outputs.

6. AI governance

- AI-generated financial or compliance analysis is decision support, not an automatic authorization.
- Material decisions require appropriate human review and approval.
- AI systems must preserve source evidence, disclose uncertainty, and avoid unsupported claims.

7. Reporting and escalation

- Potential regulatory breaches, material control failures, suspected misconduct, or significant data incidents must be escalated through the designated compliance process.
- Reports should distinguish confirmed facts, allegations, model alerts, and unresolved questions.

8. RAG retrieval anchors

- Regulatory change
- Compliance obligation
- Record retention
- Conflict of interest
- Privacy
- AI governance
- Human approval
- Compliance escalation

Document control: Review at least annually and whenever a material business, regulatory, accounting, technology, or risk change occurs. This document is not legal, accounting, tax, or regulatory advice.